

numbers, but time and again, they too uncritically put on rose-colored glasses and go along for the ride.

With the earnings guidance from the corporations they cover, Wall Street security analysts have, over the past two decades, regularly estimated average future five-year earnings growth. On average, the projections were for growth at an annual rate of 11.5 percent. But as a group, these firms met their earnings targets in only three of the 20 rolling five-year periods that followed. And the actual earnings growth of these corporations has averaged only about one-half of the original projection—just 6 percent.

But how could we be surprised by this gap between guidance and delivery? The aggregate profits of our corporations are closely linked, indeed almost in lock-step, with the growth of our economy. It has been a rare year when corporate profits accounted for less than 4.5 percent of U.S. gross domestic product (GDP), and profits only rarely account for as much as 9 percent. Indeed, since 1929, after-tax profits have grown at an average rate of 5.6 percent annually, actually lagging the 6.6 percent growth rate of the GDP. In a dog-eat-dog capitalistic economy where the competition is vigorous and largely unfettered and where the consumer is king, how could the profits of corporate America *possibly* grow faster than our GDP?

Our optimistic bias has also led to another serious weakness. In a trend that has attracted too little notice, we have changed the very definition of earnings. While earnings reported to shareholders under generally accepted accounting principles (GAAP) had been the standard since Standard & Poor's first began to collect the data years ago, in recent years the standard has changed to *operating* earnings.

Operating earnings, essentially, are reported earnings bereft of all those messy charges like inventory revaluations and capital write-offs, often the result of unwise investments and mergers of earlier years. They are considered nonrecurring, though for corporations as a group they recur, year after year, with remarkable consistency. For the record, reported earnings for the S&P 500 Index over the past decade have averaged \$51 per share, while operating earnings averaged \$61 per share. The illusory number that we could so easily